

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 771

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO INDUSTRIAL HEMP; AMENDING CHAPTER 17, TITLE 22, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 22-1708, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING RETAIL SALE OF INDUSTRIAL HEMP PRODUCTS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 17, Title 22, Idaho Code, be, and the same is hereby amended by the addition thereto of a NEW SECTION, to be known and designated as Section 22-1708, Idaho Code, and to read as follows:

22-1708. RETAIL SALE OF INDUSTRIAL HEMP PRODUCTS. (1) No cannabinoids, naturally or synthetically derived, except naturally derived cannabidiol, shall be allowed in consumable or personal use products within the state of Idaho.

(2) Any retail store within the state of Idaho that sells hemp products shall obtain a license from the Idaho department of agriculture. Licenses shall be valid for one (1) year. The annual license fee shall be six hundred dollars (\$600). The department may issue a single license that covers multiple retail store locations owned, operated, or controlled by a person. Each additional store covered by a single license shall be subject to a twenty-five dollar (\$25.00) fee.

(3) The department may conduct inspections to ensure compliance is maintained with applicable state and federal laws and regulations and the state hemp plan. During an inspection, the department may randomly select reasonably sized samples from the retail store for future off-site testing. The license holder may request a retest of the original sample within five (5) days from the date the license holder receives the result of the first test. The licensee shall bear the full cost of laboratory testing and retesting.

(4) Any person who violates or fails to comply with the provisions of this section or any rules promulgated pursuant to this section may be assessed a civil penalty by the department or its duly authorized agent of not more than ten thousand dollars (\$10,000) for each offense and shall be liable for reasonable attorney's fees. Assessment of a civil penalty may be made in conjunction with any other department administrative action. No civil penalty may be assessed unless the person was given notice and opportunity for a hearing pursuant to the Idaho administrative procedure act, chapter 52, title 67, Idaho Code.

(5) The department may promulgate rules, subject to legislative approval, through a negotiated rulemaking process to effectuate the provisions of this section.

1 (6) Nothing in this section shall be construed to limit, restrict, or
2 otherwise impede the authority of state or local law enforcement to investi-
3 gate or enforce any provision of Idaho law.

4 SECTION 2. An emergency existing therefor, which emergency is hereby
5 declared to exist, this act shall be in full force and effect on and after
6 July 1, 2026.